Tenasserim before being forced to withdraw by a combined force of Siamese and Portuguese troops. Having consolidated control over an area extending from Keng Tung in the east to Arakan in the west, from Tavoy in the south to Hsenwi in the north by 1626, Anaukhpetlun ordered the rebuilding of Pegu and turned it into the political and commercial capital of Lower Burma. He also resumed Indian Ocean maritime trade with neighboring states and kingdoms as well as European East India Companies.

Anaukhpetlun then set out to reform the royal bureaucracy in an effort to exercise direct rule over the entirety of Burma as opposed to just the capital of Ava. Between 1610 and the time of his death in 1628, Anaukhpetlun instituted a series of broad changes in the daily administration designed to curb the autonomy of provincial officials. In 1628, before Anaukhpetlun was able to finish reforming the bureaucracy, he was assassinated by his son Minyedaikpya, who had discovered his affair with one of his concubines, the daughter of Kengtung Sawbwa. Minyedaikpya was briefly installed as king by ministers at the court, while his uncles and contenders to the throne, Thalun and Minyekyawswa II, were on a military expedition in the Shan mongs. Nominally the king, Minyedaikpya never exerted control beyond the kingdom's capital of Pegu. Throughout 1628, his two uncles, Thalun and Minyekyawswa, who had marched back from Shan states, were in control of Upper Burma, while Lower Burma had revolted against his rule. In 1629, Thalun marched down from Ava to reconquer Pegu. In September of the same year, Minyedaikpyawas seized by the commander of palace guards and sent to Thalun, who promptly executed him.

In 1629, Thalun (r. ca. 1629–1648) ascended the throne. In 1635, he moved the capital to Ava and crowned himself king of Ava and made his brother Minye Kyawthwa the crown prince. Thalun was one of the most able of the monarchs of the Nyaunggan dynasty. He continued the wide-ranging administrative and financial reforms started by his brother, centralizing bureaucratic power in Ava, rather than in the provinces as it had previously been. Regional governors were now subservient to the king. He also undertook a landmark census between 1635 and 1638 that recorded the gentry's rights, population, and tax, as well as service obligations of the entire population of the Ayeyarwaddy River valley to get an accurate picture of the manpower available at his disposal. Following Thalun's death in